

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

**JOINT STATUS REPORT AND
PROPOSED DISCOVERY SCHEDULE**

Pursuant to 46 C.F.R. §502.141(h) and Administrative Law Judge Crovella's May 13, 2024 Initial Order ("Initial Order"), Complainant Peloton Interactive, Inc. ("Peloton") and Respondent Flexport International LLC ("Flexport") (collectively, the "Parties"), by their respective undersigned counsel, have conferred and submit this joint status report and proposed discovery schedule.

Initial Disclosures. The Parties shall exchange Initial Disclosures on or before November 13, 2024.

CADRS. As required by the Initial Order, each Party will have participated in a preliminary conference with the Commission’s Office of Consumer Affairs and Dispute Resolution Services (“CADRS”) by November 13, 2024. Peloton participated in a preliminary conference with CADRS on May 28, 2024. Flexport has contacted CADRS and scheduled a meeting for November 14, 2024.

Discovery Schedule. The Parties have discussed discovery requests, the proportionality of discovery, the burden and expense of discovery, and the discovery of electronically stored information. Following the meet and confer, the Parties reached agreement on a proposed discovery schedule although there is a difference in opinion as to the manner in which to convey viewpoints on the discovery process. As such, each party submits separate statements concerning the discovery schedule. The agreed upon proposed schedule is as follows:

Event	Deadline
Service of initial written discovery requests	November 13, 2024
Complete Document Production	January 31, 2025
Deadline to Disclose Intention to Use Expert Witnesses	February 3, 2025
Complete Fact Depositions	March 7, 2025
Expert Discovery Begins	March 10, 2025
Completion of All Discovery	March 28, 2025
Complainant’s Brief, Proposed Findings of Fact, and Appendix Due	April 28, 2025
Respondent’s Opposition Brief, Response to Proposed Findings of Fact, Proposed Findings of Fact, and Appendix Due	May 28, 2025
Complainant’s Reply Brief and Response to Respondent’s Proposed Findings of Fact due	June 12, 2025

Peloton

A. ***Peloton's Support for the Proposed Discovery Schedule:*** The dates in the proposed schedule were calculated based on the requirement in 46 C.F.R. § 502.141(g) that discovery be completed within 150 days of service of respondent's answer. Initial Order at 1. Peloton is mindful that the proposed discovery schedule would result in the initial decision being issued after the original May 8, 2025 date set by the Commission. Nonetheless, Peloton respectfully requests that the Presiding Officer approve Peloton's discovery and briefing schedule as proposed for the reasons set forth below.

The Commission has a responsibility to "inquire into and consider all relevant facts" when making a decision. *Crocus Investments v. Marine Transport Logistics*, Dkt. No. 15-04, 2019 WL 4734299, at *23 (citing *Michigan Consolidated Gas Co. v. Fed. Power Comm'n*, 283 F.2d 204, 226 (D.C. Cir. 1960)). To meet this responsibility, Commission precedent favors making a decision on the most complete record available. *Hudson Shipping (Hong Kong), Ltd. d/b/a Hudson Express Lines — Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 29 S.R.R. 1376, 1377 (ALJ 2002)(Order Vacating the Prior Order of Preclusion). When balancing the need to create a complete record with the rigorous discovery deadlines set forth in Rule 141, a presiding officer may find that good cause exists to extend the discovery schedule well past the 150 days allowed for in Rule 141. *See DK-Butterfly-I v. MSC Mediterranean Shipping Co. SA*, Dkt. No. 23-12, Second Amended Scheduling Order (ALJ Sept. 24, 2024). Good cause can include the volume of documents being produced and the number of witnesses to be deposed. *Id.*

In the instant case, Peloton is proposing an initial discovery schedule that would comply with the 150 days permitted by 46 C.F.R. § 502.141(g), but would result in the initial decision being issued after May 8, 2025. Good cause exists to establish a discovery schedule which includes

the full 150 days to complete discovery. Given the complexity and significant value and volume of charges at issue in this proceeding (as referenced in Exhibit A to the October 2, 2024, amended complaint), Peloton anticipates comprehensive fact and expert discovery will be necessary to create a full and complete record. As such, Peloton anticipate that at least the full 150 days will be necessary for the Parties to complete discovery and to allow the Commission to fulfill its responsibility to consider all relevant facts and issue a fully informed decision.

B. *Peloton's Comments on Flexport's Below Statement.* During the Parties' meet and confer discussions, Flexport proposed a different schedule. Based on the first and last sentences of the statement below, Flexport now agrees to the proposed schedule above. Notwithstanding this consensus, Flexport has included supplemental statements, including multiple unsupported legal and factual arguments that are wholly inappropriate for a joint status report. These statements include false and misleading characterizations as to Peloton's claims, discussions between the parties (including pre-suit settlement discussions), and the procedural history of this matter.

Because substantively addressing these comments is not appropriate in a joint status report, Peloton will be prepared to address them at an initial conference should the Presiding Officer wish to discuss these matters when entering the scheduling order.

Flexport

Flexport concurs with the above-referenced deadlines but disagrees with Peloton's assessment of the need for extensive discovery, particularly given the Commission's Order deferring on the motion to dismiss: "Based on the list of charges and FLEX-ID numbers it presented to Flexport in its demand letter and based on the engagement of another third-party logistics provider, this information appears to be available." [Doc. 13 at p. 2]. Flexport nevertheless believes that it should not be prejudiced by Peloton's actions in this matter by the imposition of a

compressed briefing schedule. Specifically, Flexport had moved to dismiss the claims against it on the basis that it had no idea what the claims were. This fact was pointed out to Peloton prior to filing the motion to dismiss and Peloton merely stated that it did not need to provide additional information. The Commission disagreed, and ordered Peloton to amend its Complaint. In its Order, however, the Commission noted that instead of asking for leave to file an amended complaint in response to a motion to dismiss, the more appropriate action would have been to file a motion for leave to amend. [Doc. 13 at p. 2]. The Order went on to state that “it is within the discretion of the undersigned to order an amendment that allows Flexport the opportunity to reply....” [Doc. 13 at p. 2]. Yet, Flexport was ordered to file an Answer to the Amended Complaint, despite the fact that, on its face, the Amended Complaint clearly evidenced that the vast majority of the claims were in fact time-barred. Then, without any discussion at all, Peloton threatened Flexport that if it filed a motion for judgment on the pleadings, Peloton would move to strike same. Thus, Flexport is faced with a complainant which has unnecessarily delayed this proceeding and then threatened action if Respondent dares to challenge its claims with motion practice – and then seeks additional time to complete discovery and obtain a ruling in this matter. As such, Flexport believes that, had Peloton not delayed this matter and engaged Flexport in good faith discussions instead of insisting that its time-barred claims were viable and forcing unnecessary motion practice, a decision could have been reached in this matter within the tie frame set by the Commission. In good faith, however, Flexport agrees to cooperate with Peloton and concur in the proposed discovery schedule.

Dated: November 6, 2024

Respectfully Submitted,

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